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US Economic Update: July 13, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q2 2026 (%)	8-Jul-26	7-Jul-26	6-Jul-26	2-Jul-26	1-Jul-26	26-Jun-26
	1.3	1.4	1.1	1.1	1.2	1.2

FOMC remains cautious amid persistent inflation risks

- Minutes of the Federal Open Market Committee meeting in June shows members' concerns about rising inflation amid solid economic growth and labor market resilience. The committee attributed elevated inflation to the pass-through effects of past tariff increases and energy supply disruptions due to the Iran conflict. Strong AI-driven investment, including data centers and semiconductors, has also boosted prices of major inputs. Overall, the committee assessed that inflation risks remain tilted to the upside, with a few members indicating that a rate hike may be warranted if inflationary pressures persist. The committee also dropped its previous easing bias, emphasizing that future monetary policy decisions will remain data dependent.
- Existing home sales fell 2.4% in June to a seasonally adjusted annual rate of 4.09 million units, reversing from a 3.7% increase in the previous month. Compared to a year ago, sales were up 2.8% in June. The median sales price of existing homes rose 1.8% in June from a year earlier to a record high, while the inventory of unsold homes increased 1.3% during the period. Elevated mortgage rates and high home prices continue to weigh on housing affordability.
- The US trade deficit (in goods and services) widened to US$77.6 billion in May from US$54.6 billion in April. This was primarily due to a 3.3% increase in imports, led by higher purchases of consumer goods and industrial supplies and materials. Exports fell 3.2% during the month, reflecting weaker shipments of industrial supplies and materials, and capital goods.
- Initial claims for unemployment insurance fell to 215,000 for the week ending July 4, a decrease of 2,000 from the previous week. The four-week moving average of claims decreased by 3,750 to 218,750 during this period.
- Tensions in the Middle East have gone up since last week owing to Iranian attacks on commercial vessels in the Strait of Hormuz. The United States responded with a fresh wave of strikes targeting Iranian infrastructure along the Strait; Iran then retaliated with missile and drone attacks on Gulf countries. Tit-for-tat strikes continued over the weekend, thereby raising concerns over the durability of the US-Iran agreement signed in June. This, along with fears of potential disruptions to global energy supplies, has pushed up oil prices. Brent crude was trading close to US$78 per barrel on July 13, up by about 8% from a week earlier.

Figure 1. Existing-home sales have been broadly flat, albeit with some volatility, since mid-2023 as low affordability weighs on demand



Figure 2. The trade deficit widened to US$77.6 billion in May, primarily due to a 3.3% increase in imports



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

Jun change	3-month avg ch	12-month avg ch	Trend
57,000	111,000	42,000	

Unemployment rate

Jun value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.2	-0.1	-0.1	

Real disposable personal income

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	-0.4	0.0	

Real personal consumer expenditure

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.5	2.1	

Nominal retail sales

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.9	3.0	6.9	

Conference Board consumer confidence index

Jun value	1-month ch	3-month ch	Trend
91.2	0.6	-1.0	

Housing permits

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.9	-8.4	-0.4	

Manufacturing industrial production

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	1.0	1.4	

Shipments of core capital goods

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	2.0	7.6	

Trade balance

May value (US$ billion)	1-month ch	3-month ch	Trend
-77.6	-23.0	-22.6	

Real GDP

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
2.1	0.5	2.7	

Corporate profits

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
7.0	26.3	12.8	

Financial markets

Equity markets

S&P 500 on Jul 10	1-week ch (%)	1-year ch (%)	Trend
7575.4	1.2	20.6	

Treasury yield spread (10 yr - 2 yr)

Spread on Jul 10	1-month ch(ppts)	3-month ch(ppts)	Trend
0.35	-0.05	-0.2	

CBOE volatility index (VIX)

VIX on Jul 10	1-week ch	4-week ch	Trend
15.0	-1.1	-4.4	

Kansas City Fed financial stress index (KCFSI)

Jun index	1-month ch	3-month ch	Trend
-0.8	0.1	-0.2	

Inflation

Consumer price index (CPI)

May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.5	2.0	4.2	

Core CPI (CPI excluding food and energy)

May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.8	2.9	

Core PCE (PCE price index excluding food and energy)

May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.9	3.4	

Philadelphia Fed 10-year ahead inflation expectations

Q2 2026 (%, YoY)	Q1 2026	Q2 2025	Trend
2.4	2.3	2.4	

Sources: Haver Analytics; Deloitte analysis.